GPS FIN CONSULTING

CEO Decision Report

COMPANY ALPHA

Construction · SRL · Anvers, Belgique · FY2023 – FY2024 – FY2025

May 2026 · Prepared by GPS Fin Consulting

CONFIDENTIAL

01. EXECUTIVE SUMMARY

COMPANY ALPHA · FY2025 · FISCAL YEAR FY2023–FY2025

The company has swung from a modest profit of 3,503.50 EUR to a net loss of 6,575.00 EUR, signaling a rapid deterioration in operating performance. Gross margin has collapsed from 14,628.71 EUR to just 32.36 EUR, effectively eliminating the buffer that protects the business from fixed costs. With only 4,871.75 EUR in cash and a worst-case survival horizon of 3.3 months, the window for corrective action is narrow and closing fast. Immediate restructuring of costs, revenue generation, and cash management is not optional — it is existential.

GPS SCORE™ — GLOBAL DIAGNOSIS

6.1 / 10

8.1	8.0	6.1
FY 2023	FY 2024	FY 2025

1.0/10	10.0/10	10.0/10	2.0/10
Profitability	Liquidity	Solvency	Efficiency

▪ CRITICAL ISSUE 1

Profitability

The near-total erosion of gross margin from 14,628.71 EUR to 32.36 EUR indicates that the company is generating revenue at virtually no profit above direct costs, which makes covering any overhead impossible. A net loss of 6,575.00 EUR in this context confirms that the business model, as currently operated, is not financially viable and must be restructured urgently.

▪ CRITICAL ISSUE 2

Cash & Safety Net

With a cash position of only 4,871.75 EUR, the company has almost no liquidity buffer to absorb delays in receivables, unexpected expenses, or supplier payment demands. The worst-case survival estimate of 3.3 months means that without immediate cash inflows or cost reductions, the company faces a real risk of being unable to meet its obligations before mid-year.

▪ CRITICAL ISSUE 3

Capital Structure

The equity ratio has increased from 72.4% to 93.5%, which on the surface appears strong, but in this context likely reflects a significant reduction in total liabilities relative to a shrinking asset base rather than genuine balance-sheet growth. This high equity ratio may mask a situation where the company is operating with minimal external financing, limiting its ability to leverage debt for recovery or growth investments.

RISK & KEY METRICS

Risk Level	● CRITICAL
Cash Runway (stress)	3.3 months
Equity Ratio	93.5%
Leverage (D/E)	0.07×
Net Result FY2025	−€6,575

TOP 3 ACTIONS — START THIS WEEK

1. Conduct an immediate cash flow audit, identify all outstanding receivables, and implement aggressive collection actions to bring cash above a minimum operational threshold within the next 30 days. 2. Freeze all non-essential expenditures immediately and renegotiate payment terms with key suppliers to extend the cash runway beyond the current 3.3-month survival window. 3. Review every active and pipeline project for margin viability and halt or reprice any engagement that does not cover direct costs plus a minimum contribution to overhead.

02. 30-DAY ACTION PLAN

OPERATIONAL EXECUTION ROADMAP — PRIORITIZED BY URGENCY AND FINANCIAL IMPACT

TIMELINE	ACTION	FINANCIAL IMPACT	PRIORITY
Week 1–2	Raise prices +20% on all new contracts	Restore GM: negative → positive margin	URGENT
Week 1–2	Send overdue collection notices	Free up to EUR 4,600 cash	URGENT
Week 1–2	Apply for revolving bank credit line	Extend runway beyond 3.3 months	URGENT
Week 3–4	Require 30–50% advance on every new contract	Reduce WC need immediately	URGENT
Month 1–2	Formalize 60–90d AP terms with suppliers	Reduce payment pressure	HIGH
Month 1–2	Build 13-week rolling cash forecast	Early warning system	HIGH
Month 1–2	Factor receivables > €5,000 (cost: 2–3%)	Immediate cash conversion	HIGH
Month 3+	Per-project profitability tracking	Eliminate hidden losses	STRATEGIC
Month 3+	Stop all dividend distributions	Rebuild equity above 30%	STRATEGIC
Month 3+	Diversify client base (target: 5+ clients)	Reduce concentration risk	STRATEGIC

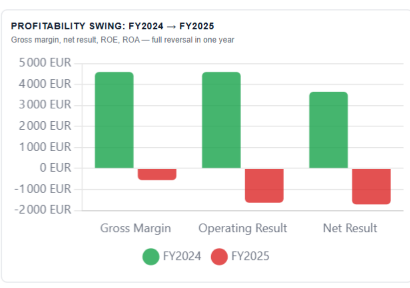
⚠ Base scenario cash runway (8.9 months) is misleading. It assumes suppliers continue financing indefinitely. Realistic pressure scenario: 3.3 months. Plan for the worst case.

03. FINANCIAL DIAGNOSTIC

Revenue & Profitability · Section 1/4

PROFITABILITY SWING: FY2024 → FY2025

Gross margin, net result, ROE, ROA — full reversal in one year



WHAT IS HAPPENING

Gross margin: €14,629 (FY2024) → €32 (FY2025).
Net result: €3,504 → −€6,575.
ROE: +5.2% → -10.9%. ROA: +3.8% → -10.1%.

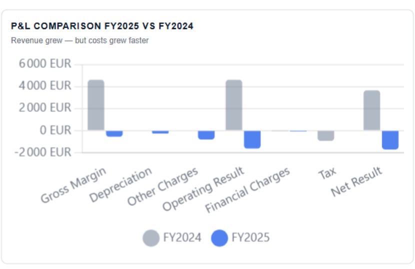
WHY IT MATTERS

Every project you accept deepens losses. Revenue growth = accelerated cash destruction.

● CRITICAL

P&L COMPARISON FY2025 VS FY2024

Revenue grew — but costs grew faster



WHAT IS HAPPENING

Revenue grew but costs grew faster. Gross margin from +8.3% to -1.0%. Operating charges (personnel, subcontractors) represent ~101% of revenue.

WHY IT MATTERS

The pricing model is fundamentally broken. Fix pricing before taking any new work.

● CRITICAL

03. FINANCIAL DIAGNOSTIC

Cash Flow · Section 2/4

CASH FLOW WATERFALL — FY2025

From net result to closing cash — indirect method reconstruction

WHAT IS HAPPENING

Operating CF (before WC): €1,035. True cash generation is negative. WC changes contributed ~€8,615 — supplier credit added €702 in new payables.
The cash position of 4,871.75 EUR is critically low for a construction SME, where project-based cash flows are inherently irregular and payment cycles are long. The combination of a near-zero gross margin and a net loss means the business is consuming cash without generating operational replenishment. Any delay in client payments or an unexpected cost overrun could push the company into a cash-negative position within weeks. Immediate focus must be placed on accelerating receivables collection and deferring all non-essential cash outflows.

WHY IT MATTERS + RISK

When suppliers demand payment, cash evaporates instantly. This is a business delaying insolvency, not generating cash.

● STABLE

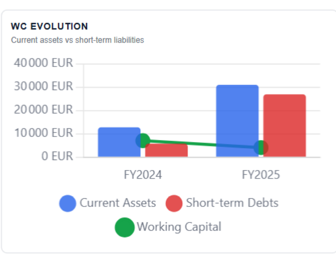
03. FINANCIAL DIAGNOSTIC

Working Capital · Section 3/4

WORKING CAPITAL	NET TRADE POSITION	TRADE RECEIVABLES	TRADE PAYABLES
€56,974	€6,923	€9,250	€2,327
+1.8% vs FY2024	AR − AP	-70.9% vs FY2024	-23.2% vs FY2024

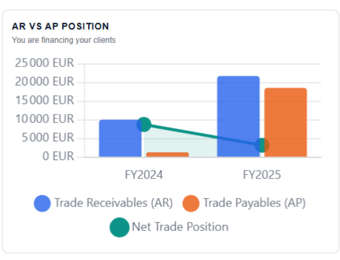
WC EVOLUTION

Current assets vs short-term liabilities



AR VS AP POSITION

You are financing your clients



WHAT IS HAPPENING — WHY IT MATTERS

In the construction sector, working capital management is particularly challenging due to the gap between project expenditure and client billing cycles. The collapse in gross margin suggests either that projects are being priced below cost, that cost overruns are occurring without recovery, or that revenue recognition has stalled. These dynamics are placing severe pressure on working capital, leaving the company exposed to any further delays or cost increases. A project-by-project profitability review is essential to identify where cash is being destroyed.

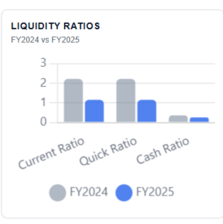
● STABLE

03. FINANCIAL DIAGNOSTIC

Financial Position · Section 4/4

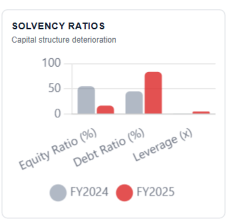
LIQUIDITY RATIOS

FY2024 vs FY2025



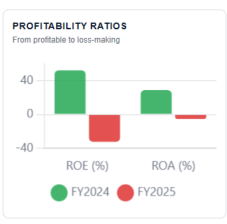
SOLVENCY RATIOS

Capital structure deterioration



PROFITABILITY RATIOS

From profitable to loss-making



WHAT IS HAPPENING

Equity ratio: 93.5% (sector threshold: 25%). Debt/equity: 0.07× (safe: <1.5×).
ROE: -10.9% | ROA: -10.1%.
An equity ratio of 93.5% suggests the company is almost entirely self-financed, which reduces financial risk in theory but also indicates very limited use of productive leverage. In a loss-making environment, high equity merely means the owners are absorbing losses directly, eroding the net asset base over time. With ROE at -10.9% and ROA at -10.1%, neither equity nor assets are generating positive returns, confirming systemic underperformance. The capital structure must be reassessed in the context of whether equity can be preserved or whether strategic debt or external investment is needed to fund a turnaround.

WHY IT MATTERS

HEALTHY (≥ 40%). The path to financial stability runs through profitability. Current ROE is deeply negative.

● HEALTHY

Ratio	FY2025	FY2024	Status
Current Ratio	1.15	2.22	LOW (<1.5)
Cash Ratio	0.26	0.36	VERY LOW
Equity Ratio	93.5%	72.4%	HEALTHY (≥ 40%)
Debt/Equity	0.07×	0.38×	VERY HIGH
ROE	-10.9%	+5.2%	NEGATIVE
ROA	-10.1%	+3.8%	NEGATIVE

04. SCENARIO ANALYSIS

SURVIVAL HORIZON MODELLING — THREE SCENARIOS

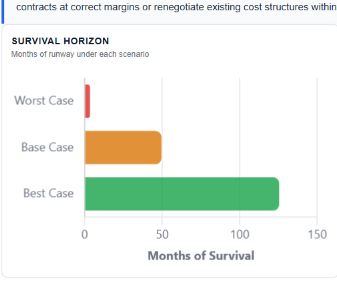
⚠ WORST CASE	— BASE CASE	✓ BEST CASE
3.3 months runway	8.9 months runway	17.3 months runway
Cash: €2,097	Cash: €4,872	Cash: €9,497
NOT VIABLE	WARNING	VIABLE

WHAT IS HAPPENING — WHY IT MATTERS

Under the worst-case scenario, the company has approximately 3.3 months of operational survival, which translates to a very hard deadline for decisive action. If current loss trends continue without intervention, the depletion of the 4,871.75 EUR cash reserve will trigger an inability to meet payroll, supplier invoices, or tax obligations. A base-case recovery scenario requires at minimum the immediate identification and billing of any outstanding receivables, combined with a freeze on discretionary spending. A best-case scenario is only achievable if the company can secure new contracts at correct margins or renegotiate existing cost structures within the next 30 to 60 days.

SURVIVAL HORIZON

Months of runway under each scenario



CASH BY SCENARIO

Available liquidity comparison

What must be true for success: (1) No client defaults; (2) All new contracts priced at +20%; (3) 50% advance payments from all new clients; (4) Bank credit line secured within 30 days. Without all four conditions, the base case is unsustainable.

05. KEY RISKS & WATCHPOINTS

FIVE CRITICAL RISK FACTORS REQUIRING ACTIVE MONITORING AND MITIGATION

RISK

1. Complete cash depletion within 3.3 months if no corrective action is taken, leading to technical insolvency and potential forced liquidation. 2. Continued margin destruction if new construction contracts are priced without rigorous cost analysis, compounding losses with every project undertaken. 3. Loss of supplier and subcontractor credit terms if payment delays occur, which would further restrict operational capacity and damage the company's ability to deliver projects.

06. STRATEGIC RECOMMENDATIONS

FROM DIAGNOSIS TO ACTION — PRIORITIZED BY IMPACT AND FEASIBILITY

URGENT — 0 TO 2 WEEKS

1. Conduct an immediate cash flow audit, identify all outstanding receivables, and implement aggressive collection actions to bring cash above a minimum operational threshold within the next 30 days. 2. Freeze all non-essential expenditures immediately and renegotiate payment terms with key suppliers to extend the cash runway beyond the current 3.3-month survival window. 3. Review every active and pipeline project for margin viability and halt or reprice any engagement that does not cover direct costs plus a minimum contribution to overhead.

STRATEGIC — 3+ MONTHS

1. Implement a formal project costing and margin tracking system to ensure all future contracts are priced with full visibility of direct costs, overhead allocation, and target margin before signing. 2. Develop a revenue diversification or client concentration strategy to reduce dependence on any single project type or client, creating more predictable and recurring cash inflows. 3. Engage a financial advisor or turnaround specialist to assess whether the current business model requires restructuring, and explore whether external financing or a strategic partnership could provide the capital needed for sustainable recovery.